Using Duration-Matched Bond Funds

In basic asset allocation for wealth accumulation, matching assets to liabilities is not a priority. The retirement liability (the desire to meet a spending goal in retirement) is not part of the analysis. Investment decisions made in an assets-only wealth management framework (where the goal is to maximize wealth subject to an acceptable volatility) often differ from those made when the goal is meeting ongoing spending needs. In an assets-only framework, a bond portfolio's duration is more likely to be determined by the investor's willingness to accept volatility and the risk-return trade-offs for increased duration.

The goals of this chapter are ultimately to find a way to match the bond portfolio to retirement expenses and to look in depth at how bonds can be used to meet retirement goals. Hence, our discussion of bond funds (mutual funds or ETFs), which can be chosen in such a way that their duration matches that of the retirement liability, is about helping immunize the retiree against interest rate risk and bond price volatility.

When choosing a bond fund, it is important to note that bond returns are primarily driven by their term/duration and credit risk. Active management for bonds generally does not add returns, especially after accounting for fund fees. The best choice is a low-cost fund with appropriate duration and credit risk for your situation.

Bond funds provide advantages through greater diversification of bond maturities, as well as the possibility of trading more cheaply within the fund without having to pay retail markups. Bond funds may also provide easier handling for taxes and simpler reinvestment of interest payments.

On the matter of diversification, it is not an issue for Treasuries. Credit risk is minimal, and any such risk would likely affect Treasuries in a similar way. For corporate and municipal bonds, however, diversification within the fund will help mitigate credit risk. In addition, funds may enjoy better pricing as institutional traders, since trading costs for individual investors in these markets may be higher. For typical household investors, holding